2011-12 in rural and urban areas respectively. The improvement in these social indicators is also a reflection of fall in deprivation. The Planning Commission has also constituted an Expert Group under the Chairmanship of Dr. C. Rangarajan to 'Review the Methodology for Measurement of Poverty' in June 2012.

INEQUALITY

HDR measures inequality in terms of two indicators. The first indicator is the income **Gini Coefficient** which measures 'the deviation of distribution of income (or consumption) among the individuals within a country' from a perfectly equal distribution. For India, the income Gini coefficient was **36.8** in 2010-11. In this respect, inequality in India is lower than many other developing countries, e.g., South Africa (57.8), Brazil (53.9), Thailand (53.6), Turkey (40.8), China (41.5), Sri Lanka (40.3), Malaysia (46.2), Vietnam (37.6), as well as countries like USA (40.8), Hong Kong (43.4), Argentina (45.8), Israel (39.2), Bulgaria (45.3) etc., which are otherwise ranked very high in terms of human development index.

The second indicator is the **quintile income ratio**, which is a 'measure of average income of the richest 20 per cent of the population to that of poorest 20 per cent'. The quintile income ratio for India was **5.6** in 2010-11. Countries like Australia (7.0), the USA (8.5), New Zealand (6.8), Singapore (9.8), the UK (7.8), Argentina (12.3), Mexico (14.4), Malaysia (11.4), Philippines (9.0), Vietnam (6.2) had higher ratios. This implies that the inequality between the top and bottom quintiles in India was lower than a large number of countries.

To estimate the ***rural-urban gap***, the monthly per capita expenditure (MPCE) defined first at household level to assign a value that indicates the level of living to each individual or household is used. According to the provisional findings of the 68th round (2011-12) of the NSS, average MPCE (Uniform Reference Period based) is Rs. 1281.45 and Rs. 2401.68 respectively for rural and urban India indicating rural-urban income disparities.